

Asia week ahead: Australian rate decision and key data from Philippines, South Korea and Taiwan

The Reserve Bank of Australia is expected to hike interest rates. Key data releases include GDP and CPI from the Philippines, and inflation from South Korea and Taiwan



Asia Research highlights of the week

[Middle East disruptions hitting economic activity in South Korea and Japan](#)
[China's PMI data suggests domestic demand remains soft](#)
[Inflation risks rebuild in Australia, supporting RBA tightening](#)
[Bank of Japan's hawkish hold reflects high geopolitical uncertainty](#)
[Singapore's growth engines remain intact despite rising energy pressures](#)

Australia: RBA expected to hike by 25bps

We expect a hawkish 25bp Reserve Bank of Australia hike at the 5 May policy meeting. The broader inflation risk backdrop has shifted to the upside. Higher oil prices are likely to generate second-round effects that could place renewed pressure on services inflation. With further pass-through of higher oil prices into transportation, electricity, and utility costs, CPI inflation is likely to remain elevated in the second quarter, strengthening the case for policy action by the RBA.

Philippines: Higher inflation and weaker consumption despite GDP recovery

We expect Philippine GDP growth to recover to 4.3% year-on-year, largely reflecting favourable base effects and some pick-up in government spending. However, consumption growth is likely to remain subdued as unemployment edges higher. On the industry side, weak soft construction activity should continue to weigh on growth, while services activity remains relatively resilient.

We expect CPI inflation in the Philippines to rise above 5% in April. This will be driven by the continued pass-through of higher global oil prices into domestic prices and emerging second-round effects. Higher rice prices are also likely to contribute to the uptick in food inflation.

South Korea: Inflation to accelerate despite government action

South Korea's consumer prices are expected to accelerate as rising oil prices begin to impact the costs of other goods and services. Government actions should limit increases in gasoline and electricity prices relative to global commodity spikes. But costs for air travel, logistics, and petrochemicals are likely to rise more sharply. The recent weakness of the KRW and the sharp rise in semiconductor prices are beginning to pass on to the prices of other goods. In March, import prices rose 18.4% year-on-year (vs 1.6% in Feb), and prices excluding food and energy rose 10.2% (vs 5.5% in Feb).

China: A quiet week amid Labour Day holidays

It should be a quiet week ahead for China with its Labour Day holidays set from 1-5 May. In terms of data, markets may monitor holiday consumption and travel data as it is released. We'll also get services and composite RatingDog PMI data.

Taiwan: April inflation should start showing energy price passthrough

Taiwan releases its CPI and PPI inflation data for April on Thursday. We expect to see more signs that inflationary pressure is picking up in April after March showed limited passthrough from higher energy prices stemming from the Iran war. Taiwan releases trade data on Friday. We're looking for another strong month, with 59.3% YoY export growth and 35.5% import growth, leading to a trade surplus of \$21.6bn.

Key events in Asia next week

Country	Time (GMT+8)	Data/event	ING	Prev.
Monday 4 May				
India	1300 Apr	IHS S&P Global Manufacturing PMI	-	55.9
Indonesia	0830 Apr	IHS S&P manufacturing PMI	-	50.1
	1200 Apr	Inflation (MoM%/YoY%)	-/-	0.41/3.48
	1200 Apr	Core Inflation (YoY%)	-	2.52
	1200 Mar	Trade Balance (USD bn)	-	1.28
	1200 Mar	Exports Growth (YoY%)	-	1.01
	1200 Mar	Imports Growth (YoY%)	-	10.85
Philippines	0830 Apr	Manufacturing PMI SA	-	51.3
Taiwan	0830 Apr	IHS S&P Global Manufacturing PMI	-	53.3
South Korea	0830 Apr	IHS S&P Global Manufacturing PMI	53	52.6
Tuesday 5 May				
Australia	1230 May	RBA Cash Rate	4.35	4.10
Indonesia	1200 Q1	GDP (QoQ%/YoY%)	-0.9/5.4	0.86/5.39
Philippines	0900 Apr	Core CPI (YoY%)	-	3.2
	0900 Apr	CPI (MoM%/YoY%)	0.8/5.2	1.4/4.1
Singapore	1300 Mar	Retail Sales (MoM%/YoY%)	-/-	-4.1/8.3
Wednesday 6 May				
China	0945 Apr	RatingDog Services PMI	-	52.1
India	1300 Apr	IHS S&P Global Services PMI	-	57.9
South Korea	0700 Apr	CPI Growth (MoM%/YoY%)	0.7/2.8	0.3/2.2
Philippines	0900 Mar	Industrial Production (YoY%)	-	4.6
Taiwan	1620 Apr	Foreign Exchange Reserve (USD bn)	-	596.9
Thursday 7 May				
Japan	0750 Apr	Monetary Base (YoY%)	-	-11.56
China	1600 Apr	FX Reserves (Monthly)	-	3.342
Philippines	1000 Q1	GDP (QoQ%/YoY%)	4.3	3
	1700 Apr	Forex Reserves (USD bn)	-	107.5
Singapore	1700 Apr	Foreign Reserves (USD bn)	-	419.2
Taiwan	1600 Apr	CPI (MoM%/YoY%)	-	0.2/1.2
Friday 8 May				
Japan	0730 Mar	Labour Cash Earnings (YoY%)	3	3.4
	0830 Apr	Services PMI	51.2	51.2
South Korea	0700 Mar	Current Account Balance (USD bn)	-	23.2
Indonesia	1100 Apr	FX Reserves (USD bn)	-	148.2
Taiwan	1600 Apr	Imports (YoY%)	35,5	38.3
	1600 Apr	Exports (YoY%)	59,3	61.8
	1600 Apr	Trade Balance (USD bn)	21,6	21.3

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